

Risk Project - Company overview/Background

BDB700: Group Assignment (40%)

Risk Management Plan Start to Finish

Itrustu Credit and INSURANCE

Overview This a group based assignment with the purpose of testing your ability to do a simple Risk Assessment from start to finish. The plan will be for an insurance company, Itrustu which is based in the city of Mississauga in Ontario, Canada. (See pages 1 to 4 for company details).

While putting together the Risk Management plan, draw on the information given in lectures, the course text, and throughout the class exercises. The MS Word outline/template should be used for Risk Management plan preparation and the submission should be posted on Blackboard i.e. with all the appropriate questions answered. One submission per team.

Deliverables

Part 1: Riskiness index
Part 2: Risk Agenda
Part 3: Risk Record
Part 4: Risk Consequences
Part 5: Risk Response
Part 6: Risk Communication

Part 7: Stakeholder expectations
Part 8: Risk Assurance

*Each phase is worth 5%

Organization Name Itrustu Insurance Company

Description of Business

Itrustu is one of Ontario's largest insurer with a market share of around 70 percent. With a focus on insurance for individuals and small businesses, Itrustu insures:

- One in three households
- One in five motor vehicles
- More than 100 small businesses

Itrustu products are available through a variety of distribution channels including brokers, corporate partners such as banks and building societies, and Itrustu Direct. Itrustu is part of Tiva which is the world's sixth-largest insurance group. It is one of the leading providers of life and pensions products in Canada and has substantial businesses elsewhere around the world. The main activities are long-term savings, fund management and general insurance. Tiva has over 6,000 employees in Canada. As a result of the regulated environment that Itrustu operates in and the sound business practice of protecting its staff, customers, shareholders and key stakeholders, Itrustu takes business continuity management very seriously.

Risk Management

Following are the main risks that Itrustu Insurance plans for mitigating against:

- Cyber threats (hacking, spam or fraud, malware, ransomware, phishing, confidentiality, data or Identity theft and others)

- Loss of IT, telephony and/or network communications for longer than one day
- Flood that causes denial of access to a building
- Loss of power
- Snow storm

The risk UT has not been anticipating in their Risk Management plan is pandemic

Risk Management plan **In Pandemic**

COVID-19 has changed the world and organizations need to upscale with the changing face of the world. Organizations not only needed to provide quick response and increase the availability of resources but should be able to incorporate the new “NORMAL” into their operations resiliently.

The Pandemic has shifted all eyes to RM professionals and all the executives are looking for answers. This the real test of your Risk Management plan and response, do you have your processes automated, integrated work plans, communications and reporting that scale globally?

On top of the current COVID-19 pandemic, the threat of a cyber-attack, natural disasters and breaches caused by third-party vendors are still growing. It's not enough to demonstrate you have a plan but to proof that it will work. The role of the Risk Management plan has evolved, and you must evolve with it.

As you know , COVID-19 has been reported almost every single country across the globe. Itrustu is trying its best to come up with a comprehensive Risk Management plan and are working hard to develop a crisis leadership team responsible for pandemic plan implementation. The team should have representatives from the executive leadership and from each functional area in the organization including account management, business operations, communications, sales, human resources, marketing and last but not least the IT department.

Top Ten Risks to Insurers

Below is the list of the most critical risks identified by insurance companies in a recent survey:

1. Cybersecurity and cybercrime
2. Disruptive technology
3. Pricing and product line profit

4. Legislative and regulatory
5. IT/systems and tech gap
6. Interest rate change
7. Competition
8. Natural catastrophe
9. Climate change
10. Emerging risks (such as pandemic)

The Main ITRUSTU Insurance Products

1. Car insurance
2. Travel insurance
3. Life insurance
4. Pension plans
5. Motorcycles \ RVs insurance
- 6 . Home\ Condo\ Renter insurance

To complete a Risk Management plan for an insurance company five elements must be investigated.

1. People

2. Buildings/ infrastructures

3. Information

4. Technology

5. Suppliers

The risk of unavailability of each of these elements must be analyzed and probabilities must be assigned to each of the threats.

Purchase of any insurance policy can be done through

- Website, mobile app and call to any broker or sales representative.

- ITRUSTU invests the premium collected from their customers in Canadian stocks and bonds, real estate holdings and precious metals in order to cover the cost of business and insurance claims.

Location & Geography

- Mississauga, Ontario - Canada

Notable processes/systems/functions (Few examples...)

-Web site and mobile app for customers to browse ITRUSTU's products

- Customer registration and account management

- Customer support

- Insurance claim processing

- Premium collection

- Quote assessments

-Payroll processing

Supporting processes/systems/functions (Few examples....)

- Email services

- Administration of all databases

- Record keeping

- Office cleaning

-Storage and backup of data

3rd party services used

- ISP

- Security consultants

- Cloud server provider

- Shredding services

- Printing services

- Mailing services

- Legal services

People in the Organization

Total employees: 50+

- Principal Officer (1)
- Executive directors (3)
- Underwriting Manager (2)
- Claims Manager (2)
- Customer Service Manager (2)
- Sales Manager (2)
- Sales Representatives (5)
- Network Manager (1)
- HR People (5)
- IT people (5)
- Finance Manager (2)
- Marketing Manager (1)
- Company secretary (2)

Technology

- Web server hosted with the hosting company
- Back-up storage (3rd party “cloud”)
- On-site servers □ Internal network
- Internet connection to an ISP provider
- Cell phones for PO, executive directors, IT people and for sales representatives

- 50 desktops (of varying “power”)

- A couple of laptops

Fixed Assets

Buildings, Equipment, Hardware etc...